PROCEDURE FOR PURCHASING

1. **Purpose :**

To establish a procedure for selection, evaluation of suppliers and to ensure that the purchasing of materials are carried out only from approved suppliers at the best

Possible prices, without compromising on QCDS (Quality, Cost, Delivery & Schedule). The suppliers are communicated about the purchasing specifications clearly.

2. Scope :

Applicable to all Direct & Indirect Materials used for production like Raw Material, BOP, BOC, Consumable & Packing Materials.

3. Responsibility : Head (Purchase)

4. System :

Sr. No.	Activity	Input	Output	Responsibility
	<u>Supplier Selection Criteria</u>			
1	Based on the following factors the new suppliers are identified and the supplier evaluations form is sent to the supplier. ❖ Customer recommended supplier ❖ The performance of the supplier is not good ❖ Repeated problem with the existing supplier	Identification of New Supplier ❖ Through Industrial Directory / Web Site ❖ Supplier Approaching Company	Supplier Evaluation Form	Head (Purchase)
2	Based on the supplier evaluation form received from suppliers, prioritize the suppliers by considering the capability which he has w.r.t technical as well as the major customer etc.	Supplier Evaluation Form	Prioritize the Supplier Audit Observation Report	Head (Purchase) Head (Purchase / Q.A)
	<u>Supplier Approval Criteria</u>			

3	After received the supplier evaluation form along with the detail information's, SAI visit at supplier end to conduct the initial system assessment audit where required.	Initial Audit Check List		Head (Purchase)
4	If the supplier will achieve minimum 70% marks in audit, then the supplier will be approved by Purchase Head/CEO/Plant Head for further business		Approval By Purchase Head/CEO/ Plant Head	
5	If the Purchase Head/CEO/Plant Head approves the supplier, then the supplier will be added in the list of approved suppliers otherwise alternate supplier is looked.	Audit Observation Report		Head (Purchase)
6		Approval From Purchase Head/CEO/Plant Head	Update in the List of Approved Supplier	
7	For the newly approved suppliers, the samples are received and the quality of the same is checked as per the procedure for Quality Assurance.	List of Approved Supplier / Tool/material trial request form	Approval by Q.A	Head (Purchase)
7 a	Once the samples have been approved by the Q.A department. The commercial activity is initiated. If the cost and payment terms are found satisfactory, the supplier is approved for regular supplies, otherwise the supplier will be asked to submit the new samples.	Q.A Approval Report	Approval of Supplier / Considering the Supplier for Regular Supply	Head (Purchase)
	<u>PURCHASING</u> Based on the monthly requirement received from Stores, Purchase Indent is raised and forwarded to Purchase Head for the approval.			

8	Based on the approval received from the Purchase Head, Schedule is raised to Supplier on monthly basis. P.O for Suppliers are raised on Yearly basis at the start of financial year. New P.O is raised whenever there is changes in technical & Commercial aspects. P.O must contains Payment terms, Freight & Delivery time.	Monthly Requirement	Purchase Indent	Head (Purchase)
9		Approved Purchase Indent	P.O	Head (Purchase)